P2JW118000-5-A00100-16DDF61078D

ADVERTISEMENT

elastic | The Search AI Company

Scale smarter. Secure more. Stress less.

With Elastic Security, powered by Search AI.

Learn why over 50% of the Fortune 500 choose Elastic at **www.elastic.co**

THE WALL STREET JOURNAL.

DOW JONES | News Corp ★★★★★ MONDAY, APRIL 28, 2025 ~ VOL. CCLXXXV NO. 98 WSJ.com ★★★★ $5.00

Last week: **DJIA** 40113.50 ▲ 971.27 2.48% **NASDAQ** 17382.94 ▲ 6.7% **STOXX 600** 520.45 ▲ 2.8% **10-YR. TREASURY** ▲ 15/32, yield 4.267% **OIL** $63.02 ▼ $0.99 **EURO** $1.1365 **YEN** 143.66

What's News

Business & Finance

◆ **The Magnificent Seven** tech stocks that drove the stock market's bull run are now suffering bruising losses. Each of the companies' stocks has fallen more than 6.5% so far this year, shedding a collective $2.5 trillion in market value. **A1**

◆ **The unpredictability** of Trump's stop-start trade offensive is paralyzing companies on just about every front except one—taking an ax to costs by slowing hiring, leaving roles unfilled and scrutinizing spending on consultants and contractors. **A1**

◆ **China's government** has exempted some U.S. imports that the country would struggle to immediately source from elsewhere from its retaliatory tariffs, people familiar with the matter said. **A2**

◆ **Caught in the middle** of the U.S.-China trade war is a Chiclet-size magnet that is made with a rare-earth mineral and is vital to every new electric vehicle on the road. **B1**

◆ **Huawei Technologies** is gearing up to test its newest and most powerful artificial-intelligence processor, which the company hopes could replace some higher-end products of U.S. chip giant Nvidia. **B1**

◆ **More than a decade** and a half after John Paulson went big on gold, the billionaire investor has emerged as one of the winners from the record-setting surge in the price of the precious metal. **B1**

World-Wide

◆ **Leaders of some** of the nation's most prestigious universities have formed a collective to coordinate how they respond to the Trump administration's attacks on research funding and academic independence. **A2**

◆ **Americans anxious** about the future of Social Security are claiming their benefits earlier than planned, even though it can mean less income over the rest of their lives. **A1**

◆ **One of the central points** of tension in Trump's strained efforts to end the war in Ukraine is Crimea, the Black Sea peninsula that Russia's Putin has placed at the heart of his national project. **A1**

◆ **Trump and Zelensky** had their first meeting Saturday since a shouting match in the Oval Office in February. **A8**

◆ **The son** of a senior CIA official was killed last year in eastern Ukraine after he joined the Russian military. **A2**

◆ **Trump's aggressive push** to round up illegal immigrants is raising the likelihood that more U.S. citizens and people living in the country legally will get swept up in enforcement actions, legal experts said. **A3**

◆ **Top Pentagon aides** were developing a briefing for Elon Musk last month on highly classified weapons programs for fighting China until the department's top lawyer intervened. **A5**

CONTENTS

Arts in Review..... A13
Business & Finance...B2
Business News.....B3
Crossword..... A14
Finance & Markets...B9
Heard on Street.....B9
Markets..... B6
Opinion..... A15-17
Personal Journal A11-12
Sports..... A14
Technology.....B4
U.S. News..... A2-6
World News..... A7-9

© 2025 Dow Jones & Company, Inc. All Rights Reserved

Vancouver Mourns Victims After Car Attack Kills 11

LINDSEY WASSON/ASSOCIATED PRESS

STREET FESTIVAL TRAGEDY: Flowers were left Sunday at the scene where an SUV driver plowed into a crowd celebrating a Philippine block party a day earlier in Vancouver. Police said the suspect has 'mental-health issues' and ruled out terrorism. **A7**

Social Security Claims Get Earlier

Fears about system's future outweigh the promise of larger benefits from waiting

By Anne Tergesen

Americans anxious about the future of Social Security are claiming their benefits earlier than planned, even though it can mean less income over the rest of their lives.

The Social Security Administration has been shedding staff and changing requirements for claiming benefits over the phone. President Trump has been pushing to cut spending, though he has vowed not to reduce benefits.

Pending Social Security claims for retirement, survivor and health-insurance benefits totaled 580,887 in March, up from 500,527 a year earlier. While multiple factors likely contributed to the increase, agency officials said at a March 28 meeting that "fear-mongering has driven people to claim benefits earlier."

Many effects of the Trump administration's swift and sweeping changes to federal agencies aren't yet apparent, but the ones being made to Social Security are already changing households' financial decisions. Americans have long been anxious about Social Security's stability, and Trump's second term is heightening those anxieties.

"That is leading people to

Please turn to page A12

◆ **How Trump has already affected voters' lives..... A4**

Losses For Tech Giants Challenge Market

Magnificent Seven worry investors with their worst start of a year since 2022

By Krystal Hur

The Magnificent Seven drove the stock market's bull run. Now, their bruising losses pose a new test for markets.

For the past two years, the group of megasize tech companies—Alphabet, Amazon.com, Apple, Meta Platforms, Microsoft, Nvidia and Tesla—helped fuel a gangbusters rally that lifted stocks out of the 2022 bear market and toward dozens of all-time highs. Investors powered their shares to eye-popping levels, heralding them for their fortresslike balance sheets and their lead in the artificial-intelligence race.

Now, even after a rally last week, the Magnificent Seven are off to their worst start to a year since the 2022 slide, according to Dow Jones Market Data. Each stock has fallen more than 6.5%, and they have collectively lost $2.5 trillion in

Please turn to page A6

◆ **John Paulson reaps a windfall on gold..... B1**

Companies Cut Costs As Tariffs Stir Worry

By Chip Cutter

The new directive inside C-suites: trim anywhere you can.

The unpredictability of President Trump's stop-start trade offensive is paralyzing companies on just about every front except one: taking an ax to costs. The chemical company Dow is delaying construction of a new plant. Boston Scientific, the medical-device maker, is speeding up efforts to cut discretionary spending including travel.

The railroad operator Norfolk Southern, meanwhile, is more closely scrutinizing consultant fees.

Andre Schulten, chief financial officer of Procter & Gamble, said: "We will have to pull every lever we have in our arsenal to mitigate the impact of tariffs within our cost structure."

Few companies have an-

Please turn to page A6

◆ **Tariffs upend the U.S.'s leather supply chain..... B1**

INSIDE

PERSONAL JOURNAL

Breakfast stirs up controversy despite research showing benefits. **A11**

Meta's Chatbots Can Get Explicit

AI companions will talk sex—even when users are children

By Jeff Horwitz

Across Instagram, Facebook and WhatsApp, Meta Platforms is racing to popularize a new class of AI-powered digital companions that Mark Zuckerberg believes will be the future of social media.

Inside Meta, however, staffers across multiple departments have raised concerns that the company's rush to popularize these bots may have crossed ethical lines, including by quietly endowing AI personas with the capacity for fantasy sex, according to people who worked on them. The staffers also warned that the company wasn't protecting

Please turn to page A10

Canadians Stiff-Arm U.S. Brands

* * *

Shoppers trace the lineage of every can of soup

By Elena Cherney And Vipal Monga

TORONTO—Armed with four different apps, Lucy Fromowitz roams the aisles of her supermarket looking for clues.

She scans the barcodes on food packages and studies the origin stories that pop up on her phone. When something seems potentially misleading or incomplete, she moves to phase 2, poring over the fine print.

"Sometimes it will say, 'Prepared in Canada,'" the retired college administrator said during a recent shopping trip with her husband. "But if you read the package, it's shipped through Florida or

Please turn to page A10

Land Grab in Crimea Was Russia's Trial Run

By Jane Lytvynenko

KYIV, Ukraine—One of the central points of tension in President Trump's strained efforts to end the war in Ukraine is a Black Sea peninsula that Russian President Vladimir Putin has placed at the heart of his national project.

For over a decade, successive U.S. administrations, including Trump's first, decried Russia's armed seizure of Crimea in 2014 and said they would never recognize the land grab—but did little to help Kyiv get it back.

Now, Trump is publicly repudiating that stance, saying the peninsula should become part of Russia.

Ukraine's President Volodymyr Zelensky has balked at the suggestion, telling reporters that, "Ukraine will not legally recognize the occupation of Crimea."

Trump and Zelensky met on Saturday ahead of the funeral of Pope Francis, their first face-to-face talk since an acrimonious Oval Office meeting in late February. Both sides described the 15-minute discussion as good, and Trump later criticized Putin on social media, questioning whether the Russian leader wanted to stop the war.

Since taking over Crimea, Russia has clamped down on opposition and promoted a Russian vision of its history through museums, schools and the repression of dissent.

To Ukraine, and most of its allies, Russia's takeover of Crimea was a violation of international law—and the West's failure to strongly resist it fed Moscow's appetite.

Initially, Russia insisted its troops weren't present. Days after protests in Kyiv ousted a pro-Russian president in Feb-

Please turn to page A8

◆ **Trump, Zelensky meet for first time since spat..... A8**

ADVERTISEMENT

With Elastic Security, Booking.com protects 3x the data at half the effort.

elastic | The Search AI Company